The Korea Discount: Corporate Governance Deficits, Structural Reform, and the Limits of Voluntary Intervention

Working Paper

May 8, 2026

Abstract

South Korean equities have traded at a persistent structural discount to developed-market and emerging-market peers for over three decades. This paper synthesizes 26 studies on the Korea Discount and presents original empirical evidence from a 20-year monthly panel of index-level price-to-book (P/B) ratios. The literature converges on three competing explanations—concentrated chaebol ownership and tunneling, weak minority shareholder protections, and stagnant growth fundamentals—but diverges on their relative importance. Cross-sectional regressions find governance insignificant once growth is controlled [양철원 et al., 2025], while natural experiments consistently identify the self-dealing channel as a direct value destroyer [Black et al., 2015]. We reconcile this divergence using Japan's three governance reforms as a benchmark. A stacked event-study analysis shows that Japan's 2014 Stewardship Code and 2015 Corporate Governance Code—both voluntary—produced no sustained re-rating, while the 2023 TSE P/B reform mandate generated a -6.48 P/B point cumulative abnormal spread over 24 months. Korea's 2024 Value-Up program, which remains voluntary, produced persistently negative CARs of -2.18, -1.80, and -2.12 P/B points against MSCI EM

Asia at $\tau = 12$ for all three milestones. A geopolitical risk falsification rejects the North Korean threat explanation ($t = -0.84$, $p = 0.40$). The evidence supports hard legislative reform over soft governance codes.

1 Introduction

The "Korea Discount"—the persistent undervaluation of South Korean equities relative to global peers—is one of the most debated puzzles in international finance. Over 2004–2024, the KOSPI P/B ratio averaged 0.177× below TOPIX ($t = -3.23$) and 0.601× below MSCI EM ($t = -10.31$), with both gaps statistically significant under Newey-West HAC standard errors. The discount has persisted for at least three decades, widened after Japan's 2023 governance reform, and resisted Korea's 2024 voluntary Value-Up program.

This paper makes two contributions. First, we synthesize 26 academic studies—including 14 published in Korean-language journals—organized around the competing explanations for the discount: governance and tunneling, growth fundamentals, and institutional stewardship. Second, we present original empirical evidence from a 20-year monthly panel covering KOSPI, TOPIX, S&P 500, and MSCI EM, using Japan's staged governance reforms as a policy benchmark. The central finding is that voluntary governance codes—whether Japan's 2014–2015 soft laws or Korea's 2024 Value-Up program—fail to produce sustained valuation improvement, while mandatory exchange-level enforcement does.

Section 2 documents the magnitude of the discount. Section 3 reviews the governance and tunneling channel. Section 4 addresses the growth-versus-governance debate. Section 5 evaluates institutional stewardship. Section 6 compares Japan's and Korea's reform trajectories with empirical results. Section 7 rules out alternative explanations. Section 8 concludes.

2 Defining and Measuring the Discount

The Korea Discount refers to the chronic undervaluation of Korean equities as measured by below-peer price-to-book (P/B) and price-to-earnings (P/E) ratios. 김현석 [2026] provide the most comprehensive international evidence, documenting persistently lower P/B and P/E multiples for Korean firms across 48 countries from 1990 to 2023, even after controlling for firm size, profitability, growth, GDP per capita, financial market development, and geopolitical risk. The finding holds across all sub-periods (1990s, 2000s, 2010s onward), demonstrating that the discount is structural, not cyclical.

The cost-of-equity channel compounds the P/B discount. Choi et al. [2012] find that Korean firms' cost of equity is significantly higher than 31-country peers after controlling for firm characteristics. However, they note the discount has eased in recent years—suggesting partial convergence.

Whether the discount reflects risk or mispricing is contested. 정태진 et al. [2022] show that Korean firms with book-to-market ratios above one consistently outperform lower-BTM firms, but further demonstrate that high BTM is associated with a higher probability of positive extreme returns and a lower probability of negative extremes—indicating mispricing rather than risk compensation. A governance factor is the strongest cross-sectional predictor.

Figure 1 presents the 20-year P/B trajectory. Table 1 reports the headline statistics. The KOSPI–TOPIX spread averages $-0.177\times$ (NW SE = 0.055, $t = -3.23$, 95% CI: $[-0.284, -0.069]$); the KOSPI–MSCI EM spread averages $-0.601\times$ (NW SE = 0.058, $t = -10.31$, 95% CI: $[-0.716, -0.486]$). The sub-period decomposition shows structural deterioration: the KOSPI–TOPIX gap widens from 0.05 P/B points in 2004–2013 to 0.43 points in 2023–2024.

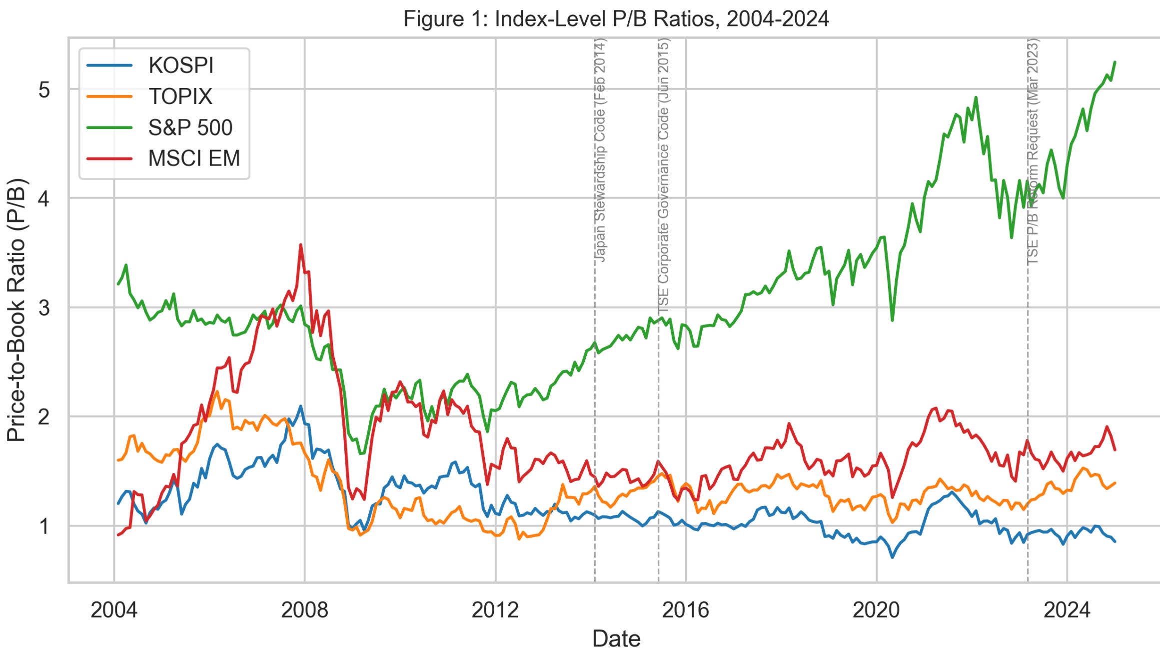


Figure 1: Monthly P/B ratios, January 2004–December 2024. Vertical lines mark Japan's governance reform milestones.

Table 1: Summary statistics of index-level P/B ratios by country and sub-period.

country	Period	mean	median	std	min	max
KOSPI	Full (2004–2024)	1.18	1.10	0.26	0.71	2.09
$\text{MSCI}_E M$	Full (2004–2024)	1.78	1.65	0.47	0.92	3.57
SP500	Full (2004–2024)	3.08	2.89	0.81	1.66	5.25
TOPIX	Full (2004–2024)	1.35	1.31	0.28	0.88	2.23
KOSPI	Pre-reform (2004–2013)	1.36	1.35	0.25	0.96	2.09
$\text{MSCI}_E M$	Pre-reform (2004–2013)	1.97	1.91	0.60	0.92	3.57
SP500	Pre-reform (2004–2013)	2.51	2.43	0.40	1.66	3.39
TOPIX	Pre-reform (2004–2013)	1.41	1.29	0.39	0.88	2.23
KOSPI	Reform era (2014–2022)	1.02	1.03	0.12	0.71	1.31
$\text{MSCI}_E M$	Reform era (2014–2022)	1.59	1.55	0.20	1.24	2.08
SP500	Reform era (2014–2022)	3.39	3.28	0.63	2.58	4.92
TOPIX	Reform era (2014–2022)	1.29	1.28	0.10	1.03	1.48
KOSPI	Post-TSE (2023–2024)	0.93	0.94	0.04	0.83	1.00
$\text{MSCI}_E M$	Post-TSE (2023–2024)	1.66	1.66	0.10	1.50	1.91
SP500	Post-TSE (2023–2024)	4.51	4.47	0.43	3.91	5.25
TOPIX	Post-TSE (2023–2024)	1.36	1.35	0.10	1.15	1.53

3 The Governance Channel: Chaebols, Tunneling, and Self-Dealing

3.1 Chaebol Ownership and Tunneling

The structural foundation of the Korea Discount lies in Korea's chaebol system—family-controlled conglomerates that dominate the economy. Almeida et al. [2011] map chaebol formation, showing that controlling families use "central firms" to acquire low-profitability entities through pyramidal structures, with central firms trading at a discount reflecting shareholders' anticipation of value-destroying acquisitions. Kim et al. [2004] document that the cash flow rights disparity between voting and economic ownership is substantially larger than previously reported, because studies using only public firms miss the amplifying role of non-public affiliates.

The economic scale of tunneling is documented by Bae et al. [2002]: when a chaebol-affiliated firm makes an acquisition, its stock price falls on average while the controlling shareholder benefits through value transfer to other group firms. Kim et al. [2019] show that business group-affiliated firms make systematically larger charitable donations—coordinated to tunnel resources from public affiliates (lower family cash flow rights) to private ones (higher family stakes).

3.2 Natural Experiment Evidence

The most causally credible evidence comes from Black et al. [2015], who exploit Korea's 1999 reform imposing stricter board requirements on large firms (assets above 2 trillion won). Event studies show that large firms whose controllers had incentives to tunnel earned strong positive abnormal returns; panel regressions confirm that better governance moderates the negative effect of related-party transactions on firm value and increases the sensitivity of firm profitability to industry profitability—consistent with reduced tunneling.

Concentrated ownership also distorts the broader governance environment. Njoku et al. [2026] find that among chaebol-affiliated firms, only shareholder rights protection retains explanatory power for dividend payouts; board effectiveness, audit competency, and disclosure transparency lose independent influence once ownership structure is controlled.

3.3 Holding Companies, Cross-Shareholdings, and Anti-Takeover Provisions

박진 et al. [2019] document that legally designated holding companies trade at significant P/B discounts relative to both operating companies and their fundamental values—a phenomenon unique to Korea and absent from Japan and the US. 박진재 [2025] argue that cross-shareholding voting restrictions can positively influence capital markets by exposing holding companies to boardroom coups, inducing upward revaluation—though this remains a defensive tactic rather than a governance improvement. Kim and Han [2022] exploit court rulings weakening supermajority anti-takeover provisions, finding that firms with such provisions outperform, supporting their value-enhancing role when not abused for entrenchment.

4 The Growth vs. Governance Debate

Cross-sectional studies challenge the governance-reform interpretation. 양철원 et al. [2025] directly test governance, shareholder payout, and growth potential hypotheses, finding that corporate governance has *no* significant relationship with PBR, while stagnant growth variables—low R&D, high tangible-asset intensity, and firm maturity—exhibit strong positive correlations with low PBR. Higher shareholder payout is paradoxically associated with *lower* PBR. 이정환 [2025] corroborate this for large manufacturers: dividend expansion has weak or negative effects on PBR, while R&D investment is more significant.

김현석 et al. [2025] broaden the challenge: across 58 markets (2001–2018), Korea's formal shareholder rights scores are not distinctively lower than peers, and markets with the largest shareholder return increases actually saw declines in average firm value. What distinguishes Korea is low value relevance: profitability and growth are incorporated into prices to a far lesser degree (51st of 58 countries), suggesting a short-term investment culture that prevents long-term expectations from being capitalized.

The divergence between cross-sectional and causal evidence partly reflects identification strategy. Natural experiments [Black et al., 2015] isolate the self-dealing channel; cross-sectional regressions cannot disentangle governance from correlated growth fundamentals. Both channels likely operate: weak governance and stagnant growth reinforce one another. Our empirical evidence (Section 6) shows that governance reform *can* produce large valuation gains independent of growth fundamentals; the MSCI EM Asia comparison rules out Japan-specific appreciation as the driver.

5 Institutional Stewardship: Promises and Limits

5.1 NPS Activism

Korea's first policy response leveraged the National Pension Service (NPS) as an activist institutional shareholder. Kim et al. [2014] find that markets do not react to NPS "Vote No" announcements—inconsistent with developed-market activism—though firms improving internal governance afterward show higher valuation. Kim et al. [2022] document that NPS shareholding improves ESG performance and financial outcomes, with ESG as the transmission channel. Lee and Nam [2026] confirm that NPS ESG engagement disclosures are associated with significant firm value gains, with effects strongest for firms with weakest internal governance—institutional activism substitutes for rather than complements internal governance.

5.2 Stewardship Code and Foreign Investors

박성환 et al. [2021] find a positive correlation between Stewardship Code adoption and earnings quality, but multivariate regressions fail to establish significance. The broader challenge [김현석 et al., 2025] is that Korea's formal governance scores are not distinctively lower than peers; the problem lies in enforcement credibility, not norms.

Kim and Yi [2015] show that foreign investors facilitate firm-specific information incorporation into stock prices more effectively than domestic institutions. 주병철 [2026] demonstrate that foreign ownership reduces growth disparity through asymmetric discipline—correcting over-investment in over-growing firms and encouraging profitable management in under-growing ones—implying that governance reforms improving market accessibility would amplify foreign investor discipline.

6 Reform Benchmarks: Japan's Arc and Korea's Voluntary Response

6.1 Japan's Staged Governance Trajectory

Japan faced a structurally similar valuation discount through the 2000s and 2010s, attributed to cross-shareholding (*keiretsu*), weak board independence, and low dividend payouts. The government responded with three reforms escalating enforcement: (i) the Stewardship Code (February 2014), requiring institutional governance engagement; (ii) the Corporate Governance Code (June 2015), mandating board composition and disclosure standards; and (iii) the TSE P/B Reform Request (March 2023), requiring firms below 1.0× book value to disclose capital efficiency improvement plans under threat of regulatory consequence.

6.2 Korea's Value-Up Program

Korea's 2024 Corporate Value-Up Program mirrors Japan's reform arc in aspiration but not in enforcement. Most listed companies ignored the voluntary guidelines, and the KOSPI closed weaker in 2024—the opposite outcome from Japan's 2023 experience. 이진효 [2025] evaluates the program and finds low participation and weak market response. 강나라 and 김희주 [2026] provide direct market evidence that *legislative* reform shifts expectations: the 2025 Commercial Act amendment (expanding directors' fiduciary duties to shareholders broadly) produced significantly positive abnormal returns for high-book-to-market firms, with no significant reaction among high controlling-shareholder-ownership firms—markets expect reform to be most effective where expropriation risk is highest.

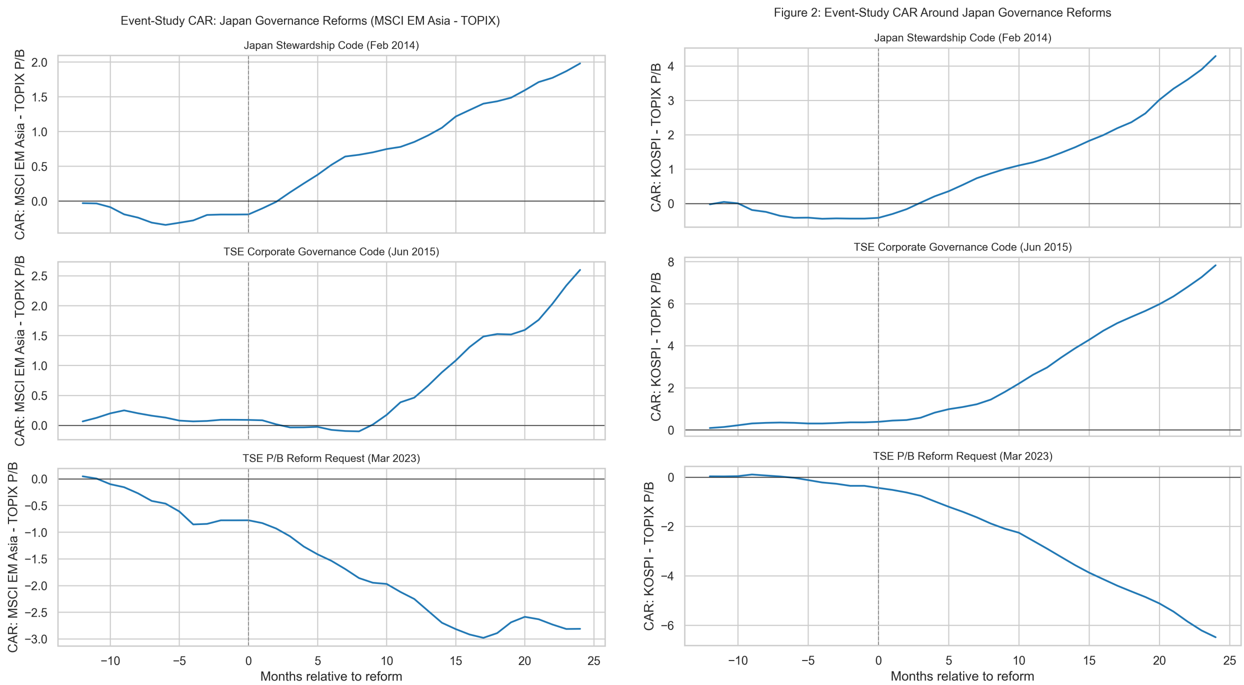
6.3 Empirical Evidence: Japan Reform Benchmark

We estimate stacked event studies around Japan's three reform dates, using both a KOSPI–TOPIX spread (secondary) and an MSCI EM Asia–TOPIX spread (primary, insulating results from Japan-specific dynamics). Figure 2 presents the results.

2014 Stewardship Code. The MSCI EM Asia–TOPIX CAR reaches $+1.60$ at $\tau = 20$—no sustained TOPIX re-rating. Korea did not underperform relative to trend.

2015 Corporate Governance Code. Qualitatively identical: KOSPI–TOPIX CAR $+7.83$ at $\tau = 24$; Asia CAR $+1.60$ at $\tau = 20$. Neither soft-law event produced an enforceable governance shock.

2023 TSE P/B Reform. Sharply different. The KOSPI–TOPIX CAR monotonically declines to -6.48 at $\tau = 24$; the MSCI EM Asia–TOPIX CAR reaches -2.58 at $\tau = 20$. Japan's hard mandate caused the largest spread movement in the sample, and the MSCI EM Asia comparison confirms this is not Japan-specific appreciation.



(a) MSCI EM Asia–TOPIX

(b) KOSPI–TOPIX

Figure 2: Japan governance reform event studies. The 2023 TSE P/B mandate produces a −6.48 P/B point KOSPI–TOPIX CAR, while earlier soft codes produce no sustained effect.

6.4 Empirical Evidence: Korea's Value-Up Program

Figure 3 presents the Korea Value-Up event study. All three milestones produce persistently negative CARs against MSCI EM Asia. For the program launch (February 2024): KOSPI–MSCI EM Asia CAR -2.18 at $\tau = 12$ and -4.14 at $\tau = 20$. For the guidelines unveiling (May 2024): -1.80 at $\tau = 12$. For the implementation push (August 2024): -2.12 at $\tau = 12$. The MSCI EM Asia specification rules out Japan-specific dynamics. Korea's voluntary program produced no improvement in relative valuation.

6.5 Panel OLS and Geopolitical Risk

Panel OLS with two-way fixed effects and wild-bootstrap inference (999 Rademacher draws, clustered by country) produces imprecise reform-by-Japan interactions: Stewardship Code $\times$ Japan $= +0.09$ [$p_{\text{wild}} = 0.625$]; CGC $\times$ Japan $= -0.32$ [$p_{\text{wild}} = 0.375$]; TSE P/B $\times$ Japan

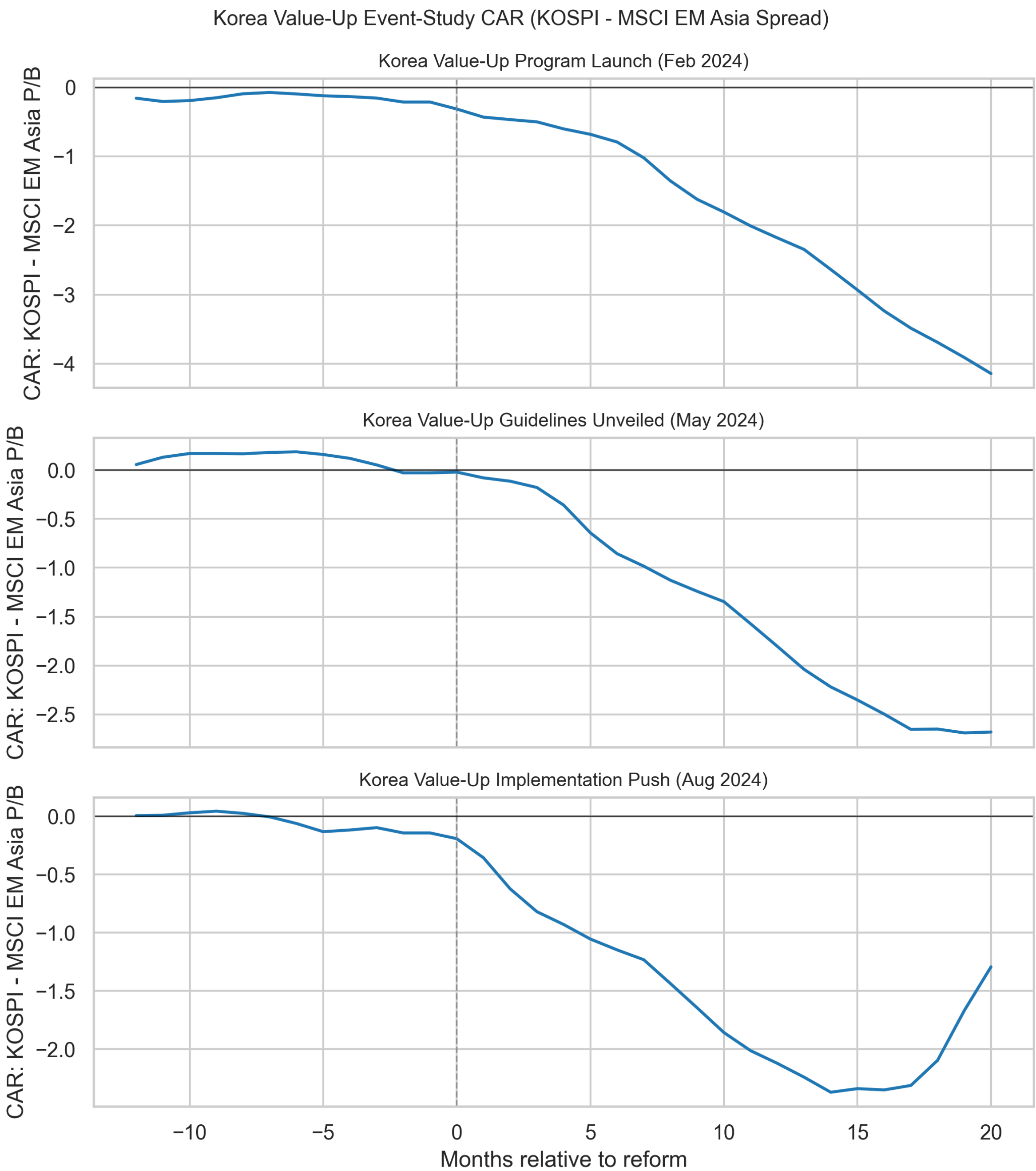


Figure 3: Korea Value-Up event study (KOSPI–MSCI EM Asia). All three milestones produce persistently negative CARs.

$= -0.23$ [$p_{\text{wild}} = 0.500$]. With $N = 4$ clusters, these are descriptive rather than inferential.

The geopolitical risk falsification estimates KOSPI P/B on Korea GPR escalation (GPRC_KOR above its 75th percentile), controlling for TOPIX P/B and year fixed effects over 252 monthly observations. The GPR coefficient is -0.016 ($t = -0.84$, $p = 0.41$)—statistically insignificant and economically negligible (less than one-tenth of the mean KOSPI–TOPIX spread). The test is biased toward finding an effect and still finds none.

7 Geopolitical Risk and Other Explanations

김현석 et al. [2025] show that Korea's economic policy uncertainty index, not military threat, explains cross-country discount differentials. The GPR falsification in Section 6 confirms the null: the coefficient is indistinguishable from zero. Yun and Kim [2022] find that initial audit fees are significantly lower during high-sentiment periods in Korea's low-litigation environment, suggesting that optimistic bias reduces monitoring quality—complementing the governance channel. The Economist [2012] attributes the Korea Discount primarily to poor corporate governance at chaebols, describing "tunnelling" and "propping" as mechanisms through which insiders benefit at minority shareholders' expense.

8 Synthesis and Policy Implications

The literature and empirical evidence converge on: mitigating the Korea Discount requires hard legislative reform, not continued reliance on soft-law guidelines. Six findings support this:

First, cross-sectional evidence contesting the governance hypothesis [양철원 et al., 2025, 이정환, 2025] does not invalidate the causal evidence from natural experiments [Black et al., 2015]; governance reforms can produce valuation gains within structurally similar economies, as Japan's 2023 experience demonstrates.

Second, the asymmetry between Japan's soft and hard governance codes is the central empirical finding. The 2014 and 2015 voluntary codes produced no sustained TOPIX re-rating; the 2023 mandatory P/B mandate produced a −6.48 P/B point KOSPI–TOPIX CAR. Korea's 2024 voluntary Value-Up program produced negative CARs against MSCI EM Asia at all three milestones.

Third, institutional stewardship through the NPS has produced conditional improvements [Kim et al., 2022, Lee and Nam, 2026] but lacks enforcement credibility absent structural reform [Kim et al., 2014, 박성환 et al., 2021].

Fourth, the geopolitical risk channel is empirically unsupported ($t = -0.84$, $p = 0.40$).

Fifth, foreign investor discipline [Kim and Yi, 2015, 주병철, 2026] offers a complementary channel, but only when market accessibility improvements accompany governance reform.

Sixth, the 2025 Commercial Act amendment [강나라 and 김희주, 2026] produced significant positive abnormal returns for high-discount firms, validating the hard-law mechanism.

The practical implication is that Korea stands where Japan stood before 2023: in possession of well-articulated soft-law governance norms whose voluntary character renders them structurally insufficient. Mandatory exchange-level enforcement—requiring firms below book value to disclose capital efficiency plans under threat of regulatory consequence—remains the missing complement. Whether the 2025 Commercial Act's fiduciary duty expansion proves sufficient without accompanying exchange-level mandates is an empirical question that the next several years of data will answer.

References

Heitor Almeida, Sang Yong Park, Marti G. Subrahmanyam, and Daniel Wolfenzon. The structure and formation of business groups: Evidence from Korean chaebols. *Journal of Financial Economics*, 99(2):447–475, 2011.

Kee-Hong Bae, Jun-Koo Kang, and Jin-Mo Kim. Tunneling or value added? Evidence from mergers by Korean business groups. *The Journal of Finance*, 57(6):2695–2740, 2002.

Bernard S. Black, Woochan Kim, Hasung Jang, and Kyung-Suh Park. How corporate governance affects firm value? Evidence on a self-dealing channel from a natural experiment in Korea. *Journal of Banking & Finance*, 51:131–150, 2015.

Tae H. Choi et al. The equity premium puzzle: Empirical evidence for the ‘Korea Discount’. *Asia-Pacific Journal of Accounting & Economics*, 19(2), 2012.

Byungki Kim, Jinhan Pae, and Choong-Yuel Yoo. Business groups and tunneling: Evidence from corporate charitable contributions by Korean companies. *Journal of Business Ethics*, 154:643–666, 2019.

Hyeong Joon Kim and Seung Hun Han. Supermajority provisions and shareholders wealth: Evidence from South Korea’s natural experiment. *Corporate Governance: An International Review*, 30:311–334, 2022.

Jeong-Bon Kim and Cheong H. Yi. Foreign versus domestic institutional investors in emerging markets: Who contributes more to firm-specific information flow? *China Journal of Accounting Research*, 8:1–23, 2015.

Jootae Kim, Sungjin Son, and Ick Jin. The effects of shareholding of the national pension fund on environmental, social, governance, and financial performance: Evidence from the Korean manufacturing industry. *Sustainability*, 14(18), 2022.

Sungmin Kim, Hee Sub Byun, and Eun Jung Lee. Does ‘Vote No’ change corporate governance and firm value? Evidence from the shareholder activism of the Korean national pension service. *Emerging Markets Finance and Trade*, 50(5):42–59, 2014.

Woochan Kim, Youngjae Lim, and Taeyoon Sung. What determines the ownership structure of business conglomerates?: On the cash flow rights of Korea’s chaebol. Finance Working Paper 51/2004, European Corporate Governance Institute, 2004.

Jihyun Lee and Doowoo Nam. ESG shareholder engagement and firm value: Evidence from Korea national pension service. *Applied Economics*, 2026.

Enyeribe Njoku et al. Corporate governance and dividend policy under concentrated ownership: Evidence from post-reform Korea. *Journal of Risk and Financial Management*, 19 (2), 2026.

The Economist. Minority report: The Korea discount. *The Economist*, 402, 2012.

Yongsuk Yun and Hyun Ah Kim. High investor sentiment and initial engagement discounts: Evidence from Korea. *Applied Economics*, 54(8), 2022.

강나라 and 김희주. 상법 개정의 기대감과 한국 주식시장의 반응: “코리아 디스카운트” 완화 가능성. *한국국제회계학회지*, 127, 2026. [Expectations of Commercial Act Amendment and Market Reactions: The Potential Mitigation of the Korea Discount].

김현석. 한국 증시의 장기적 저평가 현상과 주가배수 장기변화에 관한 국제 비교 연구. *재무관리연구*, 43(1), 2026. [Long-term Undervaluation of the Korean Stock Market and International Comparative Study on Long-term Changes in Stock Price Multiples].

김현석, 서정원, and 최서연. 코리아 디스카운트의 잠재적 원인들에 대한 실증분석. *한국증권학회지*, 54(4):327–370, 2025. [Empirical Analysis on the Potential Causes of the Korea Discount].

박성환, 강평경, 정태섭, and 박재형. 기관투자자의 스튜어드십 코드 도입과 기업의 재무보고 품질: 이익의 질을 중심으로. *회계저널*, 30(2):141–181, 2021. [Adoption of the Stewardship Code by Institutional Investors and Financial Reporting Quality: Focusing on Earnings Quality].

박진, 서정원, and 강신우. 한국주식시장의 지주회사 디스카운트. *한국증권학회지*, 48(6): 755–788, 2019. [The Holding Company Discount in Korea's Stock Market].

박진재. 상호주를 통한 경영권 방어 — 전략의 유효성, 코리아 디스카운트 해소 가능성을 중심으로. *상사법연구*, 43(4), 2025. [Defense of Management Control through Cross-Shareholdings: Focusing on Strategy Validity and Possibility of Resolving the Korea Discount].

양철원, 왕수봉, and 최재원. 무엇이 과연 코리아디스카운트와 PBR을 설명하는가? 성장동력, 주주환원, 기업지배 가설의 비교. *한국증권학회지*, 54(5):371–394, 2025. [What Really Explains the Korea Discount and PBR? A Comparison of the Growth Potential, Shareholder Payout, and Governance Hypotheses].

이정환. 기업의 자본배분관점에서 코리아 디스카운트 분석: PBR 변화의 결정요인을 중심으로. *한국경제분석*, 31(3), 2025. [Analysis of the Korea Discount from a Corporate Capital Allocation Perspective: Focusing on Determinants of PBR Changes].

이진효. 기업 밸류업 프로그램의 실효성에 관한 연구. *법학평론*, 37(3), 2025. [A Study on the Effectiveness of the Corporate Value-Up Program].

정태진 et al. 코리아 디스카운트와 1 이상의 장부가치비율. *한국회계학회지*, 31(6), 2022. [Accounting for the Korea Discount with Book-to-Market Ratios above One].

주병철. 외국인 투자자의 비대칭적 규율과 기업 밸류업 — 코리아 디스카운트 기업의 성장 불일치 해소를 중심으로. *경영과 정보연구*, 45(1), 2026. [Asymmetric Discipline by Foreign Investors and Corporate Value-Up: Focusing on Resolving Growth Disparity of Korea Discount Firms].